SILVER LINING

If gold has pride of place in Indian households, so does silver. The increasing price of gold has brought silver into the spotlight as well , with a significant rise in its worth this year alone. Silver prices have jumped over 60 per cent so far in 2025. From around Rs 79.37 at the start of the year, silver on October 5 was available for Rs 139.90 per gram. Naturally, investor focus has shifted to silver with gold prices touching record highs. Like gold, physical silver is used in Indian households and viewed as a symbol of wealth.

However, unlike gold, silver has many commercial end uses as well, which becomes another factor fuelling a surge in demand. For instance, silver is used in manufacturing electric vehicles (EVs), batteries as well as in telecom and 5G devices, in addition to solar equipment. Any increase in economic activity translates into a rise in industrial demand for the metal.

Investors can choose from multiple formats to increase their exposure to silver in their portfolios. Like gold, you can invest in the physical form of silver—coins and bars are available from banks and at leading jewellery stores.

In the paper form, one can invest in silver ETFs, which track spot prices in real-time, offering clarity and transparency under SEBI regulations. There is also the commodity futures market through which one can invest in silver, without having to hold it in physical form. This option, however, is not suitable for all investors and is meant only for high risk-takers. Like for gold, silver, too, attracts GST, as well as making charges in case you are buying silver jewellery.

But, like gold, silver should also be considered as an element in your portfolio. Your investment decisions in any asset class should not be based solely on its recent performance; instead, they should be informed by its role in your overall portfolio. If you are investing in these metals because of the recent frenzy, ensure that you allocate only a sum with which you can afford to take risks. While the future for investing in silver and gold is favourable, the other asset classes have a role in your investment basket for a reason: diversification and risk management.

Alternatively, consider your investment in commodities as part of a fun component in your portfolio. You can invest this way to avoid missing out on exciting opportunities. Track them regularly, and ride the highs to make profits.

vice versa. For many of us, gold could be a hedge against the depreciation of the rupee. With so much riding on other assets and their impact on gold, you can benefit from investing in gold, even at the current price levels. If you have no allocation in gold as an investment, you could start by adding gold in small quantities to reduce portfolio volatility. You could also rebalance your portfolio by reducing your allocation to equities or fixed income and investing in gold.

The Rule of 72 in finance indicates the number of years it takes for money to double in value. So, if one wishes to double their investment in six years, the investment should earn 12 per cent (72/6=12). The money in the bank hasn't doubled itself even over the past decade; however, the price of gold has nearly quadrupled in the same period, indicating the importance of having gold in your portfolio. At a time when money in the bank or even FDs hasn't retained its worth, keeping gold pays off, especially for low-risk-takers.

SILVER AND GOLD COME IN HANDY AS INVESTMENT OPTIONS IN TIMES OF UNCERTAINTY AND AS HEDGE WHEN THE MARKETS ARE VOLATILE

Investing in gold isn't just about wealth preservation; it's about positioning yourself for a more secure future in an unpredictable world. Add gold to your investments in small quantities, and build it up over time to a 25-30 per cent allocation. The role of gold in your portfolio is not going to diminish in any way; it will only go up, and you will see how it brings stability and growth to overall returns. ■

—Narayan Krishnamurthy